

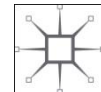
Economics of Development:

Theory and Evidence

Tenth edition

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Economics of Development

Chapter 1. Study of Economic Development

- Development economics as a subject
- Academic interest in development
- New empirical development economics
- New international economic order
- Sustainable Development Goals
- Globalisation and interdependence of world economy
- Meaning of development and challenge of development economics
- Perpetuation of underdevelopment

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Development Economics as a Subject

- Started after World War II because of:
 - Renewed interest in growth and development theory
 - Poor countries increasingly aware of own backwardness
 - Humanitarian interest in reducing poverty
 - Growing recognition of interdependence of world economy
- Concerned with why some countries rich, others poor; why countries grow at different rates, and how to reduce poverty.

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Academic Interest in Development

- Classical economists e.g. Smith, Malthus, Ricardo, Mill, Marx, all concerned with progress of nations.
- In neoclassical era, little interest in growth and development theory.
- Interest revived with Harrod's famous paper 'An Essay in Dynamic Theory' (*Economic Journal*, 1939).
- Since 1945, some of world's top economists have focussed on development economics e.g. Paul Collier; Partha Dasgupta; Angus Deaton; Albert Hirschman; Nicholas Kaldor; Simon Kuznets; Harvey Leibenstein; Arthur Lewis; James Mirrlees; Gunnar Myrdal; Joan Robinson; Dani Rodrik; Amartya Sen; Hans Singer, Joseph Stiglitz.

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Development economics has pioneered following concepts :

- Low-level equilibrium trap
- ‘Big push’ theory
- Dynamic externalities
- Models of dualism
- Theory of circular and cumulative causation
- Dependency theory
- Growth pole analysis
- Models of population and growth
- Models of rural-urban migration
- Immiserising growth
- Models of structural inflation
- Dual gap analysis
- Theory of missing markets
- Rent-seeking behaviour

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New Empirical Development Economics

- In recent years development economics has seen an outpouring of empirical studies
- Micro-empirics tests theoretical hypotheses about decision-making and economic behaviour at the household level (e.g. randomised control trials)
- Macro-empirics tests causal relations between macro-variables (e.g. causes of growth)
- Some argue that there is too much empirics and not enough theory
- Both theory and empirics are required for purposes of prediction and policy evaluation

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New International Economic Order (NIEO)

- Seeks to provide fairer deal for poor countries in world economy.
 - Improved terms of trade for exports of poor countries
 - Greater access to markets of developed countries
 - More aid and debt relief
 - Greater say in decision-making of international institutions e.g. IMF, World Bank, WTO
 - International food programme
 - Greater technical cooperation
- World is strong on rhetoric; weak on action.

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Sustainable Development Goals (SDGs)

- 169 targets grouped into 17 goals. SDGs replaced Millennium Development Goals set in 2000
- SDGs set in 2015 to be achieved by 2030:
 1. End poverty in all its forms everywhere
 2. End hunger, achieve food security and improved nutrition and promote sustainable agriculture
 3. Ensure healthy lives and promote well-being for all at all ages
 4. Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all
 5. Achieve gender equality and empower all women and girls
 6. Ensure availability and sustainable management of water and sanitation for all

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Sustainable Development Goals (cont.)

- 7. Ensure access to affordable, reliable, sustainable and modern energy for all
- 8. Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all
- 9. Build resilient infrastructure, promote inclusive and sustainable industrialization and foster innovation
- 10. Reduce inequality within and among countries
- 11. Make cities and human settlements inclusive, safe, resilient and sustainable
- 12. Ensure sustainable consumption and production patterns
- 13. Take urgent action to combat climate change and its impacts

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Sustainable Development Goals (cont.)

- 14. Conserve and sustainably use the oceans, seas and marine resources for sustainable development
- 15. Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, and halt and reverse land degradation and halt biodiversity loss
- 16. Promote peaceful and inclusive societies for sustainable development, provide access to justice for all and build effective, accountable and inclusive institutions at all levels
- 17. Strengthen the means of implementation and revitalize the global partnership for sustainable development

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Globalisation and Interdependence of World Economy

- Definition of globalisation: 'ongoing process of greater economic interdependence among countries reflected in increasing amount of cross-border trade in goods and services, increasing volume of international financial flows and increasing flows of labour' (Fischer, 2003)
- Characteristics of globalisation:
 - Massive capital flows: long term, speculative short-term, and foreign direct investment
 - Outsourcing of production to other countries
 - Labour migration
 - Spread of information technology
 - New institutions with authority over national governments
 - Spread of disease, crime , flow of arms (public 'bads')

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- Challenge of globalisation is to preserve advantages of global markets, but tempered by:
 - Ethics –less violation of human rights
 - Equity –less income disparity within and between nations
 - Inclusion –less marginalisation of people and countries
 - Human security –less instability of countries and vulnerability of people
 - Sustainability –less environmental destruction
 - Development –less poverty and deprivation

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Meaning of Development and Challenge of Development Economics

- Denis Goulet distinguished three core components of development: life sustenance, self-esteem and freedom
 1. Life sustenance is provision of basic needs: housing; food; clothing; education; health
 2. Self esteem is feeling of self respect and independence
 3. Freedom means freedom to chose, so people can determine own destiny. Development expands range of human choice open to individuals and society

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- Amartya Sen defines development as expansion of people's entitlements and capabilities; the former giving life sustenance; the latter giving freedom
- Major categories of 'unfreedom' include famine and malnourishment; poor health; lack of basic needs; lack of political liberty, and civil rights; economic insecurity
- Aggregate measures of growth not always a good measure of expansion of entitlements and capabilities of people

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Perpetuation of Underdevelopment

- Many factors perpetuate poverty and underdevelopment:
 - Backwardness of agriculture
 - Risk-averse nature of poor people in agriculture
 - Low saving due to low income, leading to low savings –a classic vicious circle
 - Rapid population growth
 - Structure of production: poor countries specialising in primary commodities
 - Structure of trade: poor countries exporting primary commodities and importing manufactures
 - Debt
 - Terms of trade deterioration of primary commodities and of poor countries
 - Protection by developed countries
- Divisions in world economy will persist without tackling these issues



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Learning Objectives

- You should now know:
 - Origins of development economics
 - What the subject is all about
 - Concepts that development economists/economics have invented
 - Components of a new international economic order (NIEO)
 - Sustainable Development Goals (SDGs)
 - Meaning of globalisation and interdependence of world economy
 - Challenges of globalisation
 - Meaning of development: ideas of Goulet and Sen
 - Challenges of development economics
 - Forces that perpetuate underdevelopment

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Chapter Summary

- Modern development economics originated after World War II
- Development economics concerned with divisions in world economy between rich and poor and why countries grow at different rates
- Poor countries need fairer deal in world economy to develop more rapidly
- Development means providing basic needs and expanding entitlements and capabilities of people
- Sustainable Development Goals have been set for 2030
- Globalisation presents opportunities and challenges
- Many poor countries caught in vicious circles of poverty. Challenge of development policy is to break these vicious circles

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Websites

Institutes of development studies

Institute of Development Studies, University of Sussex www.ids.ac.uk

School of Development Studies, University of East Anglia

<http://www.uea.ac.uk/international-development/>

Globalization

Centre for Research on Globalization <http://www.globalresearch.ca>

Peterson Institute for International Economics <http://piie.com>

New Economics Foundation www.neweconomics.org

International organizations

World Bank www.worldbank.org

International Monetary Fund www.imf.org



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Websites (cont.)

International organizations

United Nations Conference on Trade and Development (UNCTAD) www.unctad.org

United Nations Development Programme (UNDP) www.undp.org

Food and Agricultural Organization (FAO) www.fao.org

World Trade Organization (WTO) www.wto.org

World Health Organization (WHO) www.who.int

United Nations Industrial Development Organization (UNIDO) www.unido.org

International Labour Organization (ILO) <http://www.ilo.org>

African Development Bank www.afdb.org

Asian Development Bank www.adb.org

Inter-American Development Bank www.iadb.org

Centre for Global Development (Washington) www.cgdev.org

Non-Governmental Organizations Global Network www.ngo.org

Heritage Foundation www.heritage.org

Sustainable Development Goals <https://sustainabledevelopment.un.org/sdgs>
www.un.org/sustainabledevelopment/sustainable-development-goals/



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Websites (cont.)

Databases

Penn World Tables 8.1 <https://knoema.com/PWT2015/penn-world-table-8-1>

World Bank <http://data.worldbank.org/>

World Bank, World Development Indicators <http://data.worldbank.org/data-catalog/world-development-indicators>

International Monetary Fund <http://data.imf.org/>

Gapminder www.gapminder.org/

World Health Organization, Global Health Observatory www.who.int/gho/en/

UN Comtrade <http://comtrade.un.org>

UNIDO <https://stat.unido.org>

WIDER www.wider.unu.edu/project/wiid-%E2%80%93-world-income-inequality-database

